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Published on 02/12/2026 at 10:21 am GMT - Modified on 06/19/2026 at 10:06 pm BST
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Operator

[Interpreted] Ladies and gentlemen, welcome to the 2025 Full Year Results of Hermès International. I'm now going to give the floor to Mr. Axel Dumas, Executive Chairman of Hermès International; and Mr. Eric du Halgouet, Financial Director. Gentlemen, over to you.

Axel Dumas *Executive Chairman & CEO*

[Interpreted] Good morning, one and all. Thank you very much for joining us for the 2025 full year results. We are very happy to have you here over once again at our Sèvres store.

After a good Q4 with a 10% growth at constant exchange rate, I'm very happy to present to you the robust results for 2025. Our 9% growth rate has allowed us to exceed the EUR 16 billion mark for our turnover and also we've improved our current operating profitability. 2025 was marked by more uncertainty, but Hermès maintained the course, kept the right balance and remain true to its value. The solid results of this year reflect the success of our creativity, the care we put into our material know-how and vertical integration.

We continue to invest to ramp up our production capacity and to secure our supply chain. We continue to grow our distribution network across the world to support long-term growth.

In 2025, operational investments reached EUR 1.2 billion. We also created new jobs and trained our staff. Hermès onboarded an additional 1,300 people, 60% of which in France, and true to our belief that we need to share the fruits of growth. Hermès announced a general wage increase of EUR 120 with additional individual bonuses for all employees in French. Moreover, Hermès will be paying out a EUR 3,000 bonus to each of our 26,000 employees across the world for 2025.

Let's now talk about the highlights. Every year, the teams are inspired by the theme of the year. In 2025, it was drawn to craft. There were many striking examples. For example, the So Médor bag, the Seau Mousqueton, the Haut à Courroies à relier that you can see on the screen, which were all very successful.

The Home department was also very successful at the Milan Fair as well as the launch of the new Tableware service, Hermès en contrepoint. Men and women's ready-to-wear were also very well appreciated in Seoul, Hong Kong and Shanghai during the shows. And I'd like to thank Véronique Nichanian, who contributed immensely with her talent to the men's ready-to-wear division over the last 37 years. It was very emotional to see her present her final collection in January 2026. Her talent, conviction and sense of fun shaped the destiny of Hermès men's universe with great style.

To reinforce our vertical integration, we continue to invest in our production capacity across all divisions, in 2025, we inaugurated our 24th leather workshop, L'Isle-d'Espagnac. We are going to be integrating this year a new leather workshop in Loupes and construction is underway in 2 other locations, Charleville-Mézières and Colombelles, and they will be opening, respectively, in 2027 and '28.

At the end of January 2026, we also announced the opening of a new leather workshop in Andelys in 2030.

We have also increased and invested in the production capacity in other divisions. For example, we have a new site, which is under construction in Couzeix for Tableware, and we invested also in our watchmaking capacity.

We continue to secure our supply chain with our long-standing partners and continue to grow these sectors of excellence, especially in France.

Moving on now to our exclusive and integrated distribution network. We continue with our multi-local strategy. In the U.S., we have 2 new stores that were inaugurated in Scottsdale and Nashville.

We have about 15 extension and renovation projects. Among which, Florence in Italy, Knokke, Macau and Changsha.

The creation of Hermès also finds it's expression in our communication. In the second half of 2025 with Hermèstories. We invited people in Milan to discover the history of Hermès through a theater play. Hermès in the Making stopped off in Shenzhen, Istanbul and Taipei. More than 66,000 visitors met the craftspeople of Hermès and discovered our know-how.

In 2025, the eighth collection of high-end Jewellery was presented in Hong Kong, Singapore and Tokyo. So the formes de la couleur and petit h in Taichung, Seoul and Vancouver.

Moving on now to our responsible and CSR approach. True to its social model, the Hermès will pay out EUR 328 million to its employees for 2025, including bonus, incentives and profit sharing. Hermès also pursued its actions aiming at strengthening inclusion and diversity. And henceforth, has 49% remain in the top 100 positions.

The strategy -- the environmental strategy has been pursued. Deployment of plans for decarbonization for all 3 divisions has allowed us to reduce by 69% the emissions of Scope 1 and 2 in absolute values compared to 2018 and by 58% in intensity for Scope 3 in the same period. We continue to draw on local know-how and employment, namely in France. And thus, the group has created 1,300 jobs in 2025, of which 800 in France. Over 3 years, this represents 6,200 jobs, a figure I'm particularly proud of.

We've also opened 2 new training schools, they call Hermès Ecole des savoir-faire, totaling a number of 12 training schools with the CAP diploma.

Environmental ambition is also embodied in the responsible development of the production capacity of Hermès with the inauguration in last September of the leather workshop of L'Isle-d'Espagnac in Charente. Developed on a rehabilitated brownfield site, this high energy efficiency building is exemplary -- has exemplary sustainability and reasserts our local anchoring.

The environmental and social commitments of Hermès have been recognized by the main nonfinancial rating agencies, such as the confirmation of the inclusion of Hermès in the A List of CDP, placing Hermès amongst the companies deemed to be the -- have the best performers worldwide on the environmental issues, improvement of Sustainalytics rating and finally, the Transparency Awards, which reward the quality of the financial information in regulated information publications.

Let me now come to the activity. In 2025, Hermès achieved a remarkable performance. The revenue in 2025 exceeded EUR 16 billion, up by 9% at constant exchange rates and 5.5% at current exchange rates. All the regions with the exception of Perfume, Beauty and Watches have recorded a solid progression.

In Q4, sales amounted to EUR 4.1 billion, progressing by 10% at constant exchange rate, the same pace as the previous quarter on a high comparison basis. All regions have had sustained growth. Europe, Japan, America and the Middle East are progressing with a double digit, while Asia, excluding Japan, has grown by 8% in the fourth quarter.

Let us look at the activity by geographical area over the year. In 2005, all geographical regions recorded sustained growth. France plus 9%. Europe plus 11%. Flat solid progression carried by the loyalty of our local customers and the dynamic of tourism flows. Japan plus 14%, pursues its remarkable momentum, thanks to the loyalty of its local customers and its exclusive retail network. Asia, excluding Japan, plus 5%, recorded beautiful performance. In all the countries of the region, all posted a growth.

Americas, plus 12% recorded excellent year in the U.S.A. as well as the other countries of the region. And finally, other zones, including the Middle East, mainly strong growth of 15%.

The geographical breakdown of our revenue remains well balanced with a slight rise in Europe and in Japan as compared to last year.

Now let's look at the revenue per division. In 2025, Leather Goods and Saddlery plus 13%, pursued a sustained growth in line with its annual objective, carried by the strong desirability of our models and the increase of our production capacity. Clothes and Accessories division confirmed its dynamic movement plus 6%. Silk and Textile division, plus 5% after a good Q4, progressing, thanks to the diversity of the formats and materials.

Perfume Material division, minus 8% with a lesser performance. Watches, minus 2% after a first semester, which is difficult, but good growth in the second half of the year.

Finally, other divisions of Hermès plus 11%, which includes Jewellery and the Home universe pursues their solid progression.

The revenue by sector and division is quasi-stable as compared to the previous year.

I'm now going to give the floor to Eric du Halgouet, our CFO, who will present the solid results of the year.

Eric du Halgouët *Executive VP of Finance*

[Interpreted] Well, thank you very much, Axel. Good morning, one and all. The group achieved a solid performance in 2025 as in 2024. Operating income is up 7%, exceeding the pace of sales in spite of a negative exchange rate effect.

Net profit restated after the exceptional contribution for French large companies is up by 5.5% and our business cash flow is up by 11%.

Our revenue was in excess of EUR 16 billion in spite of negative exchange rate effects to the tune of EUR 500 million, which comes from the depreciation of the dollar-yen compared to the euro. Our gross margin stands at 71.1% versus 70.3% in 2024.

Negative currency hedge was offset mainly by the accretive conversion effect and a controlled increase of our costs as well as an improvement of our sell-through rates.

Communication expenditure reached EUR 620 million and make up 3.9% of sales. At constant exchange rate, they are stable compared to 2024, a year during which we launched the Barénia fragrance.

Sales and admin expenses include the cost of our distribution network and support functions and variable rent stand at EUR 3.1 billion and is up by 5%. The group beefed up its headcount in the stores to support growth and also invested in IT projects for the distribution network and logistics.

Other income and expenses are made up of depreciation of assets, rights of use stand at EUR 1 billion. The increase compared to 2024 is down to the speeding up of investment and to the increase in the social contribution from 20% to 30% on the free share plan, which was given out to employees in 2023.

Our recurring operating income, therefore, stands at EUR 6.6 billion and is up 7% versus 2024. On this graph, you have our high level of recurring operating profitability over the last 5 years in spite of the negative exchange rate effect. Our recurring operating profitability is up by 0.5 percentage points and reached 41% in 2025.

Net financial income is a total of EUR 207 million versus EUR 283 million in 2024. It includes the cost of currency hedging, income on cash and reached EUR 300 million versus EUR 400 million in 2024 because of lower interest rates.

Tax expenditure is impacted by this exceptional contribution on profits in France. This additional tax of 41.2% reaches EUR 330 million. It is equivalent to a 5 percentage point increase in 2025.

Net income of associates stands at EUR 47 million and corresponds to our share of results in the Middle East bar UAE.

Net income group share stands at EUR 4.5 billion. And when accounting for exceptional contribution it is up 5% -- 5.5% at the same pace as revenue.

Excluding exceptional contribution, net profitability stands at 30.3%, a high level, which was already achieved in 2024. Between 2015 and 2025, our sales CAGR and our net income CAGR stand, respectively, at 13% and 17%, and that is in spite of negative exchange rate effects over the last 3 years. Over the last 5 years, our revenue has been multiplied by 2.5 and net income by 3.5.

Operational investments reached EUR 1.2 billion in 2025. The group sped up its investments in the distribution network and production capacity. We devoted EUR 769 million versus EUR 611 million in '24 to securing our strategic locations to renovation and to growing our network in the U.S. with Scottsdale, Beverly Hills also in Europe with London, Geneva and also our Beijing Sanlitun project.

EUR 226 million were devoted to reinforcing our production capacity, mainly for new leather workshops in Charleville-Mezieres, Loupes and L'Isle-d'Espagnac as well as upstream in silk, hardware and the home department. And EUR 166 million were invested in real estate, digital tools and information systems.

Operating cash flow stands at EUR 5.6 billion. Restated after the exceptional contribution, it is up 10% versus 2024. Working capital requirement variation represents as in 2024, a limited use of cash to the tune of EUR 200 million, thanks to a good management in stock both in production and distribution.

Cash flow related to operating activities reached EUR 5.4 billion, is up 11%, excluding the exceptional contribution. Once accounting for operational investment and reimbursement of rent debts, our adjusted free cash flow stands at EUR 3.9 billion.

Financial investments correspond to shares bought up under our vertical integration and upstream downstream integration strategy. EUR 2.8 billion worth of dividends were paid out. Hermès International didn't buy back any of its shares.

After taking into account the negative exchange effect, our restated net cash flow position went up by EUR 700 million and reached EUR 12.8 billion.

The structure of the balance sheet remains the same as in 2024. Our cash makes up more than 50% of assets and equity, EUR 19 billion, more than 75% of our liabilities and a solid financial structure allows us to remain independent and to execute our long-term strategy.

The ordinary dividend, which will be submitted to the approval of the general assembly stands at EUR 18 per share. That's a 39% payout excluding exceptional contribution. It will be paid out on April 23, and an interim dividend will be paid on February 18.

Thank you very much for your attention. And back to Axel to talk about the outlook.

Axel Dumas *Executive Chairman & CEO*

[Interpreted] Thank you, Eric. I now come to the outlook of the group that remain unchanged. In an uncertain economic and geopolitical situation, Hermès deals with economic with confidence, thanks to a strong integrated artisanal model with well-balanced retail network and creativity of its collections and loyalty in the world. We pursue our momentum carried by the enthusiasm of our teams in the world.

We stay our course theme of the year, venturing beyond is an invitation to discover new horizons and renew its curiosity. We pursue a dynamic momentum in job creation as well our investments production capacity, mainly in France. This year, we will open the 25th, the leather workshop of Hermès in Gironde.

2026 will be a dynamic year for our retail with several openings and enlargements such as Beijing and Geneva as well as London with the opening of the new maison in New Bond Street.

I'd like to thank very warmly our customers all over the world for their trust and loyalty as well as all our employees, because it is their commitment and enthusiasm which makes for this shared adventure, so enriching.

We are now available with Eric to answer your questions.

Edouard Aubin *Morgan Stanley*

[Interpreted] Edouard Aubin from Morgan Stanley. I've got a couple of questions. First of all, could you go back to the beginning of the year trend? I know that there's the Chinese New Year and the timing of the Chinese New Year, which makes the situation difficult to maybe interpret.

A question to Eric now on the level of stocks, I believe that they've gone down to the tune of 20 days. Could you tell us about December 2025? I think that you're at the bottom of the range when you look at the last 10 years. So could you tell us a bit more on that? And is it going to be complicated for the beginning of the year? You've got a limited number of bags, for instance.

And third question, on the fact that one of your peers, Ferrari, recently are going to slow down their increase in production capacity. They've given a guidance where they're going to slash production to keep up the desirability of the brand. You reminded us that you're going to be opening new leather workshops by 2029. Is there a debate amongst investors on the "ubiquity" of your bags?

Axel Dumas *Executive Chairman & CEO*

[Interpreted] Okay. So I'm going to start off with your first question. It's not the first time you asked questions about trends on the beginning of the year. My answer is sadly going to be the same.

The Chinese New Year has a huge impact on our trends, as you know. So it's difficult to identify any trend before that happens, and the new year in China changes every year. Last year, it was end of January, and now it's mid-February. So we won't really have any clear idea before the end of Q1. So I encourage you to wait for the Q1 results presented by Eric later on in the year.

In any case, we had -- we were very successful with the Chinese New Year last year. For the rest of your question, there are no significant changes. In other words, you can see U.S. growing. Japan good figures as well. We're quite unique at Hermès in that we don't have any countries where we've seen any drops and decreases. It's quite rare, and we hope that we can continue on that same thing.

Now you asked Eric to answer your question on the stocks. It was probably very wise. But before he answers, I would just like to say one thing that I think is interesting at Hermès. First of all, we empower people at Hermès, and our distribution subsidiaries and especially since COVID, completely manage their own stores, their own countries. So that's the first thing.

Secondly, we are quite unique is that store managers are free to buy what they want. Twice a year, we have 700 people who come to Pontault outside Paris, and they choose what they want to buy and put in their stores. It's quite unique. And then there's a financial side of things, which is probably more interesting to you is that our stocks are managed in a very granular way at store level. The freedom of, yes, procurement for the stores.

Eric du Halgouët *Executive VP of Finance*

Now regarding the stocks for most divisions, we are in line with our provisions and forecast. So this year was a year of normalization. At the end of December, we were perfectly in line with our objectives, especially for leather goods, because production was good in 2025. So we ended the year with a very comfortable level of stock to prepare for 2026.

Axel Dumas *Executive Chairman & CEO*

Now going back to your question on Ferrari. I'm not going to speak for them. Of course, but Enzo Ferrari used to say that production of Ferrari is demand minus 1 car. Now there are always some tough decisions to be made. But I can tell you that I'm very glad and proud to create jobs across all of France's regions.

We are very proud of this. We have 12 training schools to train young people, but also people who decide to change course in their career. It's very important that we are able to do this, especially in a world where people can lose their job very easily. We are there to help them find a new job and to change course. So this is why we have this important plan that runs until 2030.

But then there are 2 things I would like to add. Actually, 3 things. If I end up only saying 2 is probably because I had good instincts. So the first thing that I want to say is that we have a good balance between our different divisions. We don't sell the same as we did a few years ago. When I started at Hermès 13 years ago. Leather was 55%. And today, it's 45%. So we also have this strategy of balancing out the different divisions. There are some divisions that grow very quickly, ready-to-wear, Jewellery, shoes, the home department. So we have this balance between the different divisions.

Secondly, I also ask the divisions to be balanced within themselves. So for example, for leather goods, we don't sell just one model. Likewise, for shoes, we don't have one model. We kind of balance out the desirability of our collection. So we ask our métier to renew themselves and to renew the collections. And there is this freedom to create, which is also very important, and it does sometimes lead to interesting debates between those who want to buy and those who create. And I think this is part of our strength. We've got a very diversified product offering.

When we are pitched to new ERPs or new systems, we are told there are so many different models. We're not going to be able to fit that into our IT model. We have about 50,000 SKUs, which are active. And normally, you should be at 7,000. We'll never be at 7,000. It's not even something that we are aiming for.

And then thirdly, we are a company, which is based around craftsmanship, making a bag is 16 hours' worth of work. So our volumes are quite low. And I'm not resting on my laurels. And as you know, I'm always quite worried about everything. But we have craftspeople who make our bags. It takes some time. And our desirability protects us to some extent. And we are very demanding when it comes to materials, when it comes to know-how. And it's not always easy to find these great materials. So yes, as long as we can strike the right balance, there will be desirability. Yes, please.

Antoine Belge *BNP Paribas*

[Interpreted] Hard to find somebody more competent than myself to pass the floor, Antoine Belge, BNP Paribas. Three questions, please. First of all, on China, Asia in general, what are the lessons learned from the end of the year? One talks of a slight improvement and not much more. Do you share that vision? And what are the interesting things to say about China?

Secondly, traditionally in the beginning of the year, Hermès has passed the price increases, sophisticated system to calculate average amounts. But can you tell us how much was the average increase in prices in Hermès?

And the third question, the operating margin was higher than expected. Exchange effects may be less high this year than expected. However, when we look at the minus 7% for the revenue in the Q4, that doesn't all go very well for the exchange rate. So what are the different sort of dynamic movements for the operating margin for 2026?

Axel Dumas *Executive Chairman & CEO*

[Interpreted] I'll try and answer, and Eric, you will correct me when I say something silly. Anyway, for China. I -- we were always an improvement in China. It's worth saying, do you see an improvement? Every year, we've grown. We've grown maybe less fast, than in the past, but we grew.

What I see from my little store is the activity, recognized activity of Hermès customers that continue to come, excellent customers with value effect by expensive products and a drop in aspirational customers, which are not our biggest customers. So we've always been able to grow.

I don't see the situation deteriorating. I see positive things. When will it be a structural change and not a trend-related change? I can't predict either the exchange rate or the trend every time. But I believe that there are positive events, in particular, in the way in which digesting the real estate crisis, which is weighing on things.

So I'm not crying victory. I'm not worried. I'm proud of the teams that have always grown. And I sometimes we don't emphasize this enough. And then is it the big turnaround? This allows me to answer a question that you haven't asked, but which is interesting. What I believe is that we've returned into the 21st century as it was since I've been the CEO. Every 2 years, there's a problem, September -- there's SARS in Hong Kong. I won't go through all the problems Fukushima in Japan, terrorist attacks in Paris. So every 2 years, there's a problem in the world. And that's why we have this strategy of balance in the geographical areas. When Japan is not doing that, well, the others offset. When Japan is doing better. And -- so we have the strategy that has really served us.

Now where the strategy found its limits was during the COVID. COVID, it was all over the world. This figure that we shared with Eric, because we were the only ones in the office during this period to decide what to do. We decided to keep everybody not take the state aid and continue to pay them and we did to our employees. 82% of our stores that were closed. It was not one zone making up for the other. What happened afterwards? All the zones, all the geographical areas functioned where we doubled the sales in a year's time. So now we're coming to something normal. One -- problem in one area is offset by one which is doing better.

So this idea of resilience and the balance of the divisions of the métiers that we've spoken about geographical zone, balance between the geographical zones. I think China will be the back and then we don't know which problem will pop up in the years to come, but that's part of life. So you have to sort of be ready for it. That's my strategy.

For price, you haven't been able to modelize them. Well, same thing for us. Our strategy is the industrial cost price and the evolution of the exchange rate to offset. So we take options, but we try to smoothen out our exchange rate over the year -- our currencies over the year. So that's -- and then we do a weighted average, if we were between 5% and 6% of a price increase for 2026.

For the margin, and when I start talking about margin, Eric starts to tremble. We are a fixed cost company. We are a company with the fixed costs. We're doing better than expected in Q4. It goes to the margin immediately.

Second thing is the exchange effect on the margin is very complex to manage, because you have what you expected the drop in revenue is significant, EUR 500 million. And then you have your cost that drops. You have an accretive effect as well. So sometimes a drop in revenue on a margin that you've hedged can give you a accretive effect. So I had a bit of a shock because Q4, we did plus 10%. We spoke about a Q4 at minus 7%. You talked of the exchange currency effect, not to the group. The exchange effect, as usual, third year a bit negative and waiting for other currencies to go up as compared to the euro. But 2026 exchange effect will be unfavorable for us. Luca.

Luca Solca *Bernstein Institutional Services*

[Interpreted] Luca Solca from Bernstein. I'd just like to go back to your earlier comments on demand and on aspirational clients. Over and beyond what is happening in China, we have a bit of a concern on this split between your customer base. What is your perspective on demand all around the world? Because we see that the middle class is not showing up as much in this aspirational client base. And what about demand generally?

And just to tie into all of this, could you also say a word about Jewellery so that I better understand your perspective and your vision to grow the Jewellery division? And how are you going to serve an aspirational customer base if you go for this kind of high-end Jewellery? What is the right balance between the 2?

And you also talked about upstream investment. Now you're probably in a leadership position when it comes to vertical integration. So my question is what can you do in terms of investment over and beyond leather workshops?

Axel Dumas *Executive Chairman & CEO*

[Interpreted] Well, thank you very much for your question. The first one is quite difficult. The others are a little bit easier. So first of all, Hermès has got a large number of clients all around the world. And we have a lot of people in the middle class that can afford Hermès products. If we didn't serve the middle class, we would only have 15 stores around the world. So when we set up in a country, it's because we believe that there's a middle class that can afford and wants our products.

Now we set up these stores in areas where we had aspirational clients, not always middle class, by the way. I'm not as worried as you are insofar as it's not true that the middle class is suffering all around the world. It is true in France, for sure. But you can see that local customers turn up in Europe. Look at the figures for Italy, for countries in the north of Europe. We have people in the middle class that shop in our stores and buy our products. So the middle class is not struggling all around the world. It's true for France, but not everywhere. If we are struggling a bit in Switzerland, it's because of our setup and the store, but it's going to, we're going to open up something bigger soon. So it will compensate that.

What we see from a structural point of view is that we have new clients who come, because people are getting richer in South Asia, Latin America is improving. And then in the United States, we have a very broad customer base, which allowed us to have this plus 18%. So don't just look at global trends through the European lens.

Now Jewellery, Jewellery is the first division that I managed at Hermès. There were 7 of us at the time. And at the time, I was told, don't worry if you get things wrong. It won't be noticed in the accounts of Hermès. It was not a very nice comment, but it kind of set me free as well at the same time.

Our very first jewel was produced in 1928. So as you can see, I know the history quite well. In 1937, the Chaine d'ancre designed by my grandfather, who saw it in a harbor in Normandy.

Now when I took over the Jewellery division, we were very lucky, because we had a fantastic designer. We talked about Véronique earlier, but there was Pierre Hardy at Jewellery, and we continue to work with him. 95% of what we sell is made of silver. I came back -- I come back from Asia and Asia, they tend to buy gold more than silver, also because they are very humid countries and gold doesn't oxidize. So we launched a gold jewelry at a time, which makes up roughly more than 2/3 of our revenue. So we grew jewellery very quickly in excess of EUR 1 billion of income. So that's quite great.

On top of that, there's also this freedom to create, but we also wanted to create high-end pieces. We call it Haute Bijouterie in French. Nobody really understood that particular name and concept. So that's why I'm reminding everybody of it. Since I created it, it's close to my heart. But if you see Haute Joaillerie and not Haute Bijouterie, you'll understand that I would have lost that particular battle.

But what is interesting with Haute Bijouterie is that there's a lot of work on the design. It's not just one stone and then stuff around it. I only stayed for 3 years at Jewellery. Other people came over and have done a much better job and have contributed to the great success of Jewellery at Hermès. And it's the division at Hermès over the last 15 years that has grown the most, and I'm very happy and proud about it.

Now going back to your question on integration. We started buying up shares in jewelery. And we now have shares in a few jewelery companies. Now jewelery is a fragmented landscape. We also have individual craftspeople who work for us. We've had partners for more than 50 years. We continue to work with them. We've invested in Italy, in shoemaking. There's a production workshop there.

For perfumes, we are also growing our activities with ambitious plans. We also have watchmaking at Hermès that we continue to invest in to ramp up our production capacity. So this is really the specificity of Hermès, whereby the main position at Hermès is the craftspeople. They make up 60% of the headcount. And it's a fixed cost. When it works, it works really well. And sometimes, we have to weather the difficult situation. And we love to work with partners. We have to be modest and humble. Sometimes they are more agile and better than we are. So that's why we reach out to them. But yes, we do a bit more integration in divisions to protect these suppliers and partners.

For instance, if my grandfather, and father and uncle would come back to say, and you've made a huge mistake, it might be right, but not when we invested in tanneries, for example. We invested a lot in this area in France. And I think that it's paid off really well. When we are the only ones that can invest to preserve quality, then we need to do it. And when you work with great partners, and we have fantastic partners who've been around for more than 25 years, and it's a great story. I'm the third generation that, for example, has been working with the silk workshops in Lyon.

Unknown Analyst

[Interpreted] [indiscernible] I have 3 small questions. One on China. On your network of stores, I think you've accelerated the pace of opening of stores in China. Can you tell us what will be the size of the network, well, sort of dimensioned in China because you are now quite cautious in your openings?

Second question on perfumes. You said a year that was not that great. At the end of the third quarter, it was a buoyant market. Then on the haute couture, a lot was said about it last year. I know you will explain to me that you're waiting to be ready.

Axel Dumas *Executive Chairman & CEO*

[Interpreted] That's true.

Unknown Analyst

[Interpreted] But you have better visibility. Do you have a better visibility on the date on which you will be ready?

Axel Dumas *Executive Chairman & CEO*

[Interpreted] On China, we remain straight, I don't know. We remain straight on our strategy. You have Florian Craen in the first row, who heads the retail network, who headed China as well, and he's great. Everybody I know compliments the team. So I want to do the same.

And so what did we decide a few years ago? In China, we asked ourselves the question around dinner, saying do we increase? Do we remain with the number? Then we said China is a territory of conquest, but we have to remain reasonable. The idea is not to go everywhere. So as a strategy that we've been pursuing for the last 10 years. So not too many stores, and we tried to conquer, put ourselves in a new town once a year. And we follow that. We follow that.

And then, of course, between the problems of construction, sometimes it's in a year. So when I open one in Shanghai, then it's big. So we don't open another one that following year. So we have 32 stores in China today, and we remain on something that is quite stable. It will grow at our pace slowly.

To be sure, we have a long-term vision. We're not stop and go. What's interesting is with regard to the Chinese situation for several years, we haven't canceled a single project. We continue to roll out our plan as we have worked on it.

Perfumes, fragrances, I prefer to be honest saying that it's sort of in the half shades as it were. My team is pulling a face. On fragrances, interest, difficulty on perfume as such and not on makeup and beauty.

I think there are things that we can do better, frankly. I always tell the teams what can we do better? People will say, "Oh, the market," yes, but we do have levers. There are certain things that we can do better, and we're working on it.

The second thing, contrary to the rest of the group, they depend a lot on wholesale,, retail distribution in duty-free with distributors. So everybody is not doing as well as Hermès, and sometimes you have partners that have preferred to buy less to manage their inventory. So we continue our perfume development strategy, which is to grow to have the necessary sort of mass to have autonomous subsidiaries and to launch ourselves in the 3 industrial areas: perfume, makeup that we've launched and tomorrow, skin care.

What will come before skin care and haute couture, which one will come first? I would say on haute couture, we started with something that we like. We recruited workshops. We recruited seamstresses. And then we'll be ready when we'll be ready. Again I'll be [indiscernible] what I saw was superb. I'm quite excited because, look I'm really quite excited. And I'm very proud of what the teams have done. And then it has to be finished at the right time. And -- but it's on its way. Yes, please.

Thomas Chauvet *Citigroup Inc.*

[Interpreted] Tom Chauvet from Citi. Three questions. First of all, Axel, you mentioned the current trends in China and the fact that you're sticking to your guns from a strategy point of view. Could you tell us about the changes in customer behavior in China? We see that the domestic demand is lower, that there's more tourist demand in Japan, for instance. And you have some local brands as well. 15 years ago, you created Changsha, a local brand. You were a pioneer in this area. What do you think of these local Chinese brands, a brand that you've discontinued since?

Secondly, just to go back to the margin and price increases, that increase of 5.5% or 6% in January, does it offset the exchange rate effects and the increase in prices in labor costs and raw materials? In the past, you gave us annual forecast on that. Could you tell us more maybe this time around?

And on net cash flow, which is at EUR 13 billion, you have the biggest net cash position in the business but also the company that has the less appetite for

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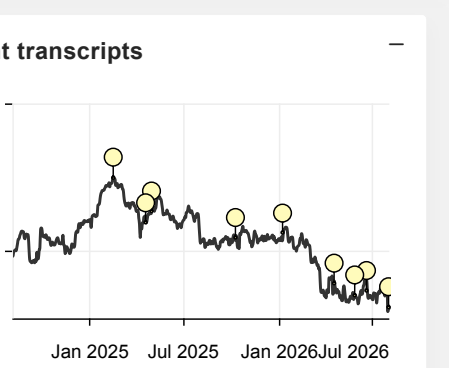

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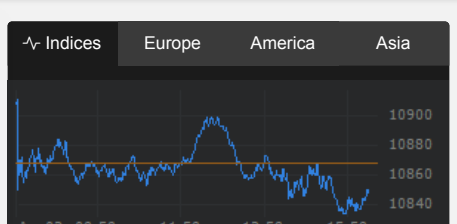

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DAX	26,001	+1.45%
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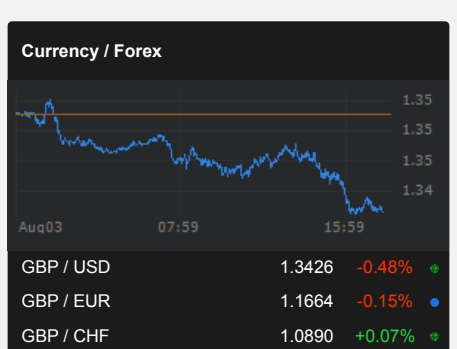

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CRUDE OIL (WTI)	80.00	-0.83%
CRUDE OIL (BRENT)	83.94	+0.18%
SILVER	57.57	-1.26%
PLATINUM	1,617.10	-2.59%

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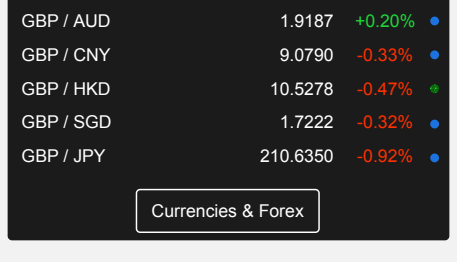

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SOLANA (SOL/USD)	73.32	-0.37%
BINANCE COIN	591.69	+0.66%
RIPPLE	1.08	-0.61%

Cryptocurrencies

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UK 10Y CASH	5.21	-0.07
US 10Y CASH	4.69	-0.01
GERMANY 10Y CASH	3.15	-0.05
JAPAN 10Y CASH	2.81	+0.02
FRANCE 10Y CASH	3.93	-0.07

Interest Rates Area

acquisitions. So over and beyond vertical integration and organic investments, what are the major opportunities that you see to invest this cash? Are you going to buy back shares invest in real estate? Tell us a bit more on that.

Eric du Halgouët *Executive VP of Finance*

[Interpreted] Maybe I'll start with the margin. Are you scared about what I might say on the margin? On the margin, as Axel said, we have a price increase, which sits at 5%, 6%. And that was calibrated to cover our production costs. There are some materials that are more expensive like gold, for example. And then there's also the EUR 120 bonus that we pay out to all employees in France. So that's also a production cost, and we kind of compensate this with a price increase.

And then there's the exchange rate effects. Of course, we've got the hedging strategy, which helps us to compensate the negative impact, but it is nonetheless a negative impact of EUR 200 million for 2026.

In 2025, we enjoyed a conversion effect, which is not predictable because it's down to the average rates, but it helped us to half the hedging effect. But for 2026, no one can predict the level of the yen or the dollar at the end of the year.

Axel Dumas *Executive Chairman & CEO*

[Interpreted] Well, it's a good job that Eric answered because I would have probably said more and probably a bit too much and got sold off. So to answer your question on China, there is one thing that I believe has changed since the beginning of the year 2010. And that is the fact that the appetite for spending on luxury items has got nothing to do with GDP, but rather has a lot to do with the stock exchange and the change in the real estate market. So -- and actually, this is what you see in China. GDP continues to grow, but there is a lot of concern about people's wealth, their financial investments. We see that financial markets are going back up in China. But I think this is a trend which then allows you to understand people's appetite for luxury items, more than GDP in any case.

In China, we see that leather goods are performing really well and is a very solid pillar. And then we have 2 other divisions that work very well. Women's ready-to-wear and Jewellery. In other words, divisions that are high-value divisions for us. So that is the case today and will continue to be the case in the future.

And I think it's great to note that they are Chinese brands. I'm not part of these people who are glad when other people encounter problems. I believe that more our industry is successful, more brands are successful, the better we will all be. So I think it's great that China is growing brands. Brands that offer products that are very different to ours. Laopu, for example, their jewels are very different. They're very Chinese. It's a different know-how as well, and I find it very interesting and amusing.

Now I'm going to be told off once again, but Labubu, for example, was quite amusing in New York Times. There was an article the headline was, could Labubu have existed without the Birkin? It's quite amusing if you think about it. And then there's some Chinese brands that you see breaking into Europe as well. And I saw so in the press in sportswear that there are some Chinese brands, and we're already very strong in China. And now they are conquering markets outside of China.

So I'm not trying to be the only brand in the world and wanting everybody to come to Hermès. No, the more brands they are, the more appetite there will be, and that appetite at one point will be valuable for Hermès. So I think it's a positive sign more than anything else.

And then your third question was on cash. So I'm going to answer this one on cash, Eric. Is that right? Yes. So yes, it's true that Hermès continues with its strategy when it comes to cash. We use our cash flow, roughly 1/3 for dividends, 1/3 for investment and 1/3 for our cash flow so that we can be resilient in the future with a strong financial structure and remain independent.

This year, we don't have an exceptional dividend. Otherwise, it wouldn't be exceptional, because it would have been the third year on the trot. So it will remain exceptional, and we'll probably make a comeback in the future, but we've increased the ordinary dividend, which is perfectly in line with our traditional way of doing things. So our net profit was a bit lower, but not the one before tax. So we continue a bit like with foreign exchange rates, we continue with our usual strategy.

Unknown Analyst

[Interpreted] Well done for these results from HSBC. I only have two questions. I wanted to come back to the growth long-term growth algorithm because I had understood that with the development of new production sites up until 2030 continue to develop higher volumes by 6%, 7% from the historical average. The 5%, 6% price increase this year does one consider that as being exceptional because of the cost pressure, fixed or catching up with the increases that were less moderate elsewhere? In the long term, do we consider that you are in 6%, 7% of volume and less in price in the long term?

Then real estate, we've foreseen many projects, quite impressive projects in luxury in the U.S.A. with very big openings in all the brands, Moncler, Dior, Vuitton and I have seen an announcement this morning on a project that you had in Rodeo Drive. I was wondering whether you could explain to us why according to you, there are such big projects. And what does it tell us about the potential that the U.S. represents in the future?

Axel Dumas *Executive Chairman & CEO*

[Interpreted] Very well. Price policy, you're right. Now I repeat what I said, for us, it's first the cost, the production cost. This year, we made an increase beyond inflation. I spoke of EUR 120. We're very manual. So that's part of the industrial cost price. So this increase -- and then a loss of EUR 500 million a year in sales because of currency effect, and that was the case in other years.

So the years where you have a depreciation of the euro positive, then an appreciation of the dollar, we have less price increase, because we needed less to offset. But there is -- there's a question we sell a lot in France, including -- in Europe, including in France. So I don't need to add the price for the exchange rate.

But we have a specificity which makes us cautious in the currency management, is we've never dropped up, reduced our prices. We never do. And therefore, you have to be careful when the currency goes up and down. And when you don't come to a price positioning in the local currency, which becomes too complex. That's our strategy. We continue with it, but we have to recognize the fact and congratulate Eric, that our currency hedging has stood good despite -- in the world where the currency volatility has become quite strong.

The second question on the U.S.A. And sometimes we find it difficult to read myself. For the U.S.A., well, I feel like saying that our strategy -- we have a strategy with Florian, which is simple. We don't need more stores, but we make bigger stores, more beautiful stores, better placed if need be in order to present all the divisions, all the métiers. May I remind to the room -- when I started as CEO, the stores were 313. Today is 297. We don't need more stores. We need them to be bigger, more beautiful.

We opened a new store in Madison several years ago, which is the second largest of the group. So it's really quite marvelous. And we're very happy with this maison, which is a lot of character. We'll be opening another maison this year. We're very excited in Bond Street, which is a building that we had bought 13 -- 18 years ago. So we really do see things in the long term, and we are very happy to open it. It's at 166 New Bond Street, and it will be on the 16/6 at the address of 166. Yes, 16th of June 2026. So you see how much superior intelligence we deploy for the opening date.

Anyway, the rule of the stores dates back to Jean-Louis Dumas. It's the customers who pushed the walls of the stores. In Rodeo Drive, Beverly Hills, the store that we love. We're the owners of the store It is becoming too small. We don't have the right to increase it upwards. So for the future, we made a significant purchase which will allow us in the future to have a project that we deem will be great, but there are tenants for the moment. So maybe it will be a gift.

When we bought Asprey, I thought it would be for the seventh generation. And finally, we're doing it. Rodeo Drive, will it be for the seventh generation? Will it be for us? We'll see. But the idea is to think in the long term and obviously, the success of certain of our stores, Rodeo Drive is part of those. The store is too small to receive enough customers and the stock that we need to present and ideas not to have more stores, but better stores. Maybe a last question.

Operator

[Interpreted] We are now going to move on to the questions in English. [Operator Instructions] The first question is from Zuzanna Pusz of UBS.

Zuzanna Pusz *UBS Investment Bank*

So I have two. I hope you can hear me. First of all, I was just wondering why the marketing expenses were a little bit lower last year. I think that maybe throughout the year, you were guiding to something around EUR 700 million, and it ended up being around EUR 620 million, also lower as a percentage of sales. So I was just wondering if this is maybe the new level of marketing we should expect going forward or maybe some of it got pushed out to this year? So that's my first question --

And second one is on leather goods growth, sort of the volume you're expecting in the long term. I think you've previously commented that you expected volumes to grow 6%, 7%, which -- I'm just wondering if this is something -- how long this can continue for because you are obviously investing in a lot of new workshops. But at the same time, there is at some point, scale, sort of effect of the size, and we are seeing quite a few bags in the secondhand market, which I know you don't necessarily like, but it is what it is. And I think consumers can find on a lot of websites. So I'm just wondering, if you know at some point, you will be maybe considering changing that long-term algorithm of growth just to protect the brand? And also how long -- how much longer for can you grow the volumes at 6%, 7%?

Axel Dumas *Executive Chairman & CEO*

Right. Thank you. For the marketing expense, I think the level that you've seen 3.9% this year is quite good. We're not trying to spend for the sake of spending because of the size of the group now. And I mean, let's say the turnover, it's allowed us to have what we need and what we like to do with our communication team. So we are not short of budget, but -- so it's I think it's a good ratio. Is it going to be like that for all the year coming? I don't know. But you see more than EUR 600 million of marketing, et cetera, of communication, as we call them, expense has helped us to do what we wanted to achieve with that.

Regarding the leather goods, our perspective is unchanged. It's complicated to have a figure for you that makes sense because we are hiring around 250, 300 new craftsmen per year. We cannot do that much more because we need to train them. And it's very important to train them. We have some of our best craftsmen who stopped producing and we train them. So we calculated in our own model that, that was the right level of training for them.

Then actually, one thing that changed also across the year is productivity. I would say, to be a good craftsman at Hermès, it takes you 8 years. You will learn at least for the 8 years to do all the model, you will learn to do other kind of skill. You will do a lot of things. So it's not just a question of arithmetics about how many new people you put. It's also about how well they are able to change and move. So that's why we are quite confident that our growth that we announced in [double-digit] can be sustained in the near future.

And you've seen our plans so far that I explained, we are up to 2030 so that gives us also a little bit perspective for us. Thank you.

[Interpreted] And now a couple of questions just to wrap up.

Unknown Analyst

[indiscernible]. Can you maybe go back to Europe because the bulk of customers are what locals or tourists because one of your peers are very pessimistic about Europe and about tourist customers because of foreign exchange rate effects?

Axel Dumas *Executive Chairman & CEO*

[Interpreted] Well, we are very optimistic when it comes to the Eurozone because we have a very strong local customer base in these countries. For our distribution subsidiaries, their objective is to have a strong relationship with local clients. And that is something that's quite unique at Hermès, that people will buy in their local store. In China, for example, Chinese customers mainly buy in China. You will have noticed that the figures for Japan are still great. It's because we have a very loyal local customer base there.

Now if you just want to take a more granular look at Europe, you could say that France depends quite a lot from tourist clients, but the rest of Europe has a very strong and dynamic local customer base. But we are very much optimistic for the Europe area, Eurozone and non-Eurozone, which is good news because we are opening a big flagship in Bond Street and in Geneva.

Carole Madjo *Barclays Bank*

[Interpreted] Carole Madjo from Barclays. Another question on the U.S. market, a market that grew a lot in 2025. What do you think the sentiment is in U.S., a very polarized market? What is the customer behavior as you can see it there? Do you think that double-digit growth is possible in 2026 when you take into account pricing effect and with new stores opening in the U.S.? And final quick question on the tax rate in 2026. Could you give us a forecast on that.

Axel Dumas *Executive Chairman & CEO*

[Interpreted] Question on tax will be for Eric. For the U.S., I'll take that question. Sometimes we overlook people or countries that do well. It's probably a French bias. The U.S. market is doing very well. There is no change in the trend as we see it. And what is very positive is that all areas in the U.S. are performing really well. We were slightly affected the year before that with the fires in California. And I mentioned these events that can't be foreseen. It was the case for California. But otherwise, California is doing very well. Scottsdale and Nashville great opening. So there's a strong momentum in the U.S., and it's a very broad momentum as well, but yes, we don't see any changes in trends for the U.S.

And the question on tax. Back to you, Eric.

Eric du Halgouët *Executive VP of Finance*

[Interpreted] The strength of the U.S. is to have this very well distributed growth across divisions and across the regions in the U.S. Now on the normative rate, we'll have this additional tax at least next year. But if you take away the 5 percentage points that I mentioned earlier, we are at a normative rate of 28.5%. Without including that additional tax, just to clarify.

Axel Dumas *Executive Chairman & CEO*

[Interpreted] But this additional tax will be carried over to next year. And we'll see how long this exceptional tax will remain exceptional. It's like an exceptional dividend. We hope that it just happens for a couple of years, but maybe this exceptional tax will be a feature in years to come. Thank you very much. It's always a pleasure and have a great day.

Operator

[Interpreted] Ladies and gentlemen, the conference is now over. Thank you very much for taking part. You can now sign out.

[Portions of this transcript that are marked [Interpreted] were spoken by an interpreter present on the live call.]

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